collections of Rs 95,444 crore during the year, previous unspent balance of year 2017–18 and 2018–19 and part of the collections of 2020–21.

The year 2020–21 presented a real challenge and tested the resilience of the GST system to pay off the shortfall in SGST revenues to the states. In the immediate aftermath of collapse of growth and GST tax revenues, the Centre first anticipated a shortfall of Rs 2.35 lakh crore in GST compensation demand and the GST Compensation Cess revenues of year 2020–21. Unwilling to give this hefty compensation, the Centre divided the shortfall in available resources in two parts by attributing the collapse in revenues on account of economic shutdown caused by COVID-19 to an 'Act of God'. The Centre indicated that only Rs 97,000 crore of the anticipated shortfall of Rs 2.35 lakh crore was attributable to GST implementation.

Later, the government enhanced the compensation payable to the states to Rs 1.10 lakh crore and promised to borrow from the market and give it to them on a back-to-back basis according to their projected shortfall. Though the states were reluctant to accept loans for the grants initially, they all finally fell in line as they could not afford the situation of cash out in their treasuries. These loans are expected to be paid off after 2022 from the Compensation Cess accruing thereafter as the current Compensation Cess collection arrangements have been extended until 2025, though the states would not be paid compensation after 2022.

E-Invoicing for Invoice Matching

The success of GST lies in the ability of the system of automatically match the invoices of seller and buyer for verifying the GST paid and GST claimed as input tax. This requires GST invoices to be uploaded to the GST system and the system's technical ability/programming to do the matching.

E-invoicing has been made applicable to all businesses whose aggregate turnover exceeded Rs 500 crore in any of the financial years 2017–18 to